SDG BLOCKCHAIN ACCELERATOR

Market Penetration and Scaling Strategy

Blockchain-Based Carbon Revenue Distribution System

Better Than Cash Alliance x ClimaFi

This document outlines the market penetration strategy, branding approach, user acquisition plan, go-to-market strategy, and long-term scaling roadmap for the ClimaFi pilot developed within the SDG Blockchain Accelerator program.

1. Project Overview

The proposed solution represents a transformative digital infrastructure designed to address a critical gap in climate finance distribution within indigenous communities. Specifically, it focuses on the transparent and equitable allocation of carbon credit revenues generated through forest conservation efforts in the Indigenous Community of San Miguel Chimalapa, located in Oaxaca, Mexico. This community manages approximately 134,000 hectares of biodiverse forest, one of the largest carbon sinks in the country, and is expected to generate approximately USD 3.25 million annually through carbon credit markets.

Despite the significant financial potential of these environmental assets, the current system for distributing revenues remains heavily reliant on manual, cash-based processes. These processes introduce substantial risks, including delays, financial leakage, lack of transparency, and systemic exclusion—particularly affecting women and vulnerable groups. Furthermore, the absence of traceability undermines trust within the community and exposes stakeholders, including investors and carbon credit buyers, to environmental, social, and governance (ESG) risks.

To address these challenges, the solution introduces a blockchain-based payout rail that functions as a compliance and distribution layer, ensuring that funds are transferred securely, transparently, and directly to approximately 4,500 community members. Importantly, the system is not designed to replace traditional governance structures but to reinforce them. By embedding the community's customary governance model (usos y costumbres) into smart contracts, the platform ensures that distribution rules defined by the General Assembly are executed automatically and without discretionary manipulation.

The broader significance of this solution lies in its ability to transform climate finance into a trustworthy and inclusive system. By ensuring that financial benefits reach those who actively protect natural resources, the platform strengthens both environmental sustainability and social equity. Moreover, it establishes a replicable model for other indigenous and rural communities across Mexico and the Latin America and Caribbean (LAC) region, where similar governance and financial inclusion challenges persist.

2. Market Penetration Strategy

2.1 Branding and Positioning Strategy

The positioning of this solution is fundamentally rooted in its role as a **trust infrastructure for climate finance distribution**. In contrast to conventional fintech or blockchain applications, the platform is not merely a payment system but a governance-enabling mechanism that ensures the integrity of financial flows within a culturally sensitive context.

The solution will be positioned as a **"compliance-grade digital payout rail for climate finance"**, emphasizing its ability to reduce financial, social, and operational risks associated with carbon credit distribution. Its branding will highlight three core pillars: transparency, inclusion, and accountability. These pillars directly address the shortcomings of existing systems while aligning with the priorities of international stakeholders, including UNDP, the Better Than Cash Alliance, and regulatory bodies.

From a strategic perspective, the platform's value proposition is tailored to multiple stakeholder groups. For indigenous communities, it ensures fair and timely access to financial resources, strengthening trust in both governance and climate initiatives. For project developers such as Carbon Plus, it reduces compliance risks and enhances the credibility of carbon credits. For governments and regulators, it supports national financial inclusion strategies and digital transformation agendas. Finally, for investors and carbon credit buyers, it provides verifiable proof that funds reach intended beneficiaries, thereby mitigating ESG risks.

The communication strategy will emphasize the narrative of **"transforming climate finance into trusted community value"**, reinforcing the idea that technological innovation can coexist with and strengthen traditional governance systems.

2.2 User Acquisition and Onboarding Plan

The adoption of the platform is intrinsically linked to the engagement and trust of the indigenous community it serves. Unlike traditional digital solutions, user acquisition is

not driven by market incentives alone but by the need to align with deeply rooted social structures and cultural practices.

The onboarding process begins with community validation through the General Assembly, ensuring that the solution is not externally imposed but collectively approved. This approach is critical for legitimacy and long-term adoption. Once approved, the onboarding strategy focuses on registering landowners and creating digital identities through custodied blockchain wallets, which eliminate the need for users to manage complex private keys.

Given the low levels of digital and financial literacy within the community, the onboarding process is supported by targeted capacity-building initiatives. These include financial literacy programs, facilitated by public institutions, and hands-on training sessions that guide users through basic functionalities such as accessing balances, authorizing transactions via PIN, and interacting with local financial agents.

Special emphasis is placed on inclusivity, particularly in ensuring that women and vulnerable groups are actively onboarded and able to independently access their funds. The system is designed to operate in low-connectivity environments through USSD and SMS functionalities, ensuring that technological barriers do not hinder participation.

By combining technical simplicity with culturally sensitive engagement, the onboarding strategy ensures that the platform is both accessible and trusted by its primary users.

2.3 Go-To-Market and Communication Strategy

The go-to-market strategy is structured around a phased approach that prioritizes trust-building and demonstrable impact. In the initial phase, the focus is on awareness and validation, leveraging partnerships with UNDP, the Better Than Cash Alliance, and local governance bodies to introduce the solution as a community-endorsed initiative.

As the platform progresses to the engagement phase, communication efforts center on demonstrating tangible benefits, such as reduced payout times, improved

transparency, and enhanced financial inclusion. Pilot implementations serve as key proof points, showcasing how the system operates in real-world conditions.

The conversion phase involves scaling adoption within the community and expanding to additional use cases. Transparent reporting of outcomes, including transaction records and impact metrics, plays a crucial role in building confidence among stakeholders.

Ongoing communication is maintained through community meetings, digital dashboards, and stakeholder reports, ensuring continuous engagement and accountability.

2.4 Institutional and Ecosystem Partnerships

The success of the solution depends on a complex ecosystem of partnerships that integrate technical, institutional, and community-level actors. At the core of this ecosystem is the indigenous community itself, which serves as both the primary beneficiary and the governing authority responsible for defining distribution rules.

Carbon Plus plays a critical role as the project developer, managing the carbon asset and ensuring compliance with certification standards. The Better Than Cash Alliance provides strategic guidance on responsible digital payments, with a particular focus on inclusion and user protection. UNDP contributes to program alignment, risk management, and coordination with government stakeholders.

Technology partners, including Vaka Consulting and ClimaFi, are responsible for developing and maintaining the blockchain infrastructure, while financial institutions and local agents provide the physical layer for cash-out services. Government entities, such as the Secretariat of Finance and environmental authorities, support regulatory compliance and policy alignment.

This multi-stakeholder approach ensures that the solution is not only technically robust but also institutionally embedded and socially legitimate.

3. Scaling Strategy

The scaling strategy is designed as a progressive expansion from a controlled pilot to a fully operational system with regional replication potential. In the initial phase, the focus is on validating the solution with a limited number of users, ensuring that the system is functional, user-friendly, and aligned with community expectations.

Following successful validation, the platform is scaled to cover the entire beneficiary base of approximately 4,500 landowners. This phase involves expanding agent networks, refining operational processes, and strengthening governance mechanisms.

In the long term, the solution is positioned for replication across other carbon projects managed by Carbon Plus and beyond. Its modular design allows adaptation to different governance models and use cases, including renewable energy payments and social protection programs.

By establishing a scalable and adaptable framework, the solution has the potential to become a foundational component of climate finance infrastructure in the LAC region.

4. Financial Model and Revenue Streams

The financial model of the solution is based on a transition from grant-funded development to a sustainable cost-recovery mechanism. During the pilot phase, funding is provided through accelerator programs and partner contributions, enabling the development and validation of the platform.

As the solution scales, revenue is generated through a combination of program administration fees, subscription models for platform access, and licensing fees for replication. These revenue streams are designed to be covered by project developers and operators, ensuring that end users—community members—can access the platform free of charge.

A key aspect of the financial model is its alignment with risk reduction. By providing an immutable audit trail, the platform reduces compliance risks and enables project

developers to achieve more favorable terms in carbon markets. This creates a strong economic incentive for adoption and sustainability.

5. Sustainability Plan Beyond the Accelerator

The long-term sustainability of the solution is anchored in its integration into existing institutional and operational frameworks. Rather than functioning as a standalone tool, the platform is designed to become a core component of carbon project management and financial distribution systems.

Institutional ownership is gradually transitioned to local and national stakeholders, supported by ongoing partnerships with development organizations and government agencies. Continuous monitoring and evaluation ensure that the system remains effective, inclusive, and aligned with evolving needs.

The platform's open and modular architecture allows for continuous innovation and adaptation, enabling it to respond to new challenges and opportunities in climate finance. Additionally, its ability to generate measurable impact, both environmental and social, ensures continued support from donors, partners, and investors.

6. Conclusion

This solution represents a paradigm shift in how climate finance is distributed within indigenous and rural communities. By combining blockchain technology with culturally aligned governance models, it addresses fundamental challenges related to trust, transparency, and inclusion.

Beyond its immediate application in San Miguel Chimalapa, the platform establishes a scalable and replicable model for equitable climate finance distribution. It demonstrates that technological innovation, when thoughtfully integrated with local systems, can enhance both environmental sustainability and social justice.

In doing so, it not only strengthens the integrity of carbon markets but also ensures that the communities safeguarding critical ecosystems are fairly and transparently rewarded for their contributions.